

to say whether he claims or not in a case where the trustee has a right to ask the question, such third person will make himself amenable to costs (*f*).

18. **Bond of indemnity.** — In cases where there exists a mere shadow of doubt as to the rights of the parties interested, and it is highly improbable that any adverse claim will, in fact, be ever advanced, the protection of the trustee may be provided for by a substantial bond of indemnity. In general, however, a bond of indemnity is a very unsatisfactory safeguard, for when the danger arises, the obligors are often found insolvent, or their assets have been distributed. And if the bond be to indemnify against a breach of trust, the Court is not disposed to show mercy towards a trustee who admits himself to have *wilfully* erred by having endeavoured to arm himself against the consequences (*g*).

*19. **Suit.** — A trustee cannot be expected to incur [*350] the least risk, and therefore if the equities be not perfectly clear, he should decline to act without the sanction of the Court, and he will be allowed all costs and expenses incurred by him in an application for that purpose (*a*). But as a trustee is indemnified by the decree of the Court, he will *appeal* from any decision to the Court above at *his own risk* (*b*). If the rights be perfectly clear, and the trustee appeals to the Court without reason, he will be answerable in costs, though he do not act either fraudulently or maliciously (*c*).

20. **Trustee Relief Act.** — If there be no dispute as to the *amount* of the fund, but only as to *who* is entitled to it, and the trustee, instead of transferring the fund into Court under

(*f*) See *Re Primrose*, 23 Beav. 590; *Loneragan v. Stourton*, 11 W. R. 984.

(*g*) A *verbal* promise of *indemnity* has been held not to be within the Statute of Frauds, *Wildes v. Dudlow* 19 L. R. Eq. 198.

(*a*) *Re Wyllly's Trust*, 28 Beav. 458; *Talbot v. Earl of Radnor*, 3 M. & K. 252; *Goodson v. Ellison*, 3 Russ. 583; *Curteis v. Candler*, 6 Mad. 123; *Knight v. Martin*, 1 R. & M. 70; S. C. Taml. 237; *Taylor v. Glanville*, 3

Mad. 176; *Angier v. Stannard*, 3 M. & K. 566. And see *Campbell v. Home*, 1 Y. & C. C. C. 664; *Gardiner v. Downes*, 22 Beav. 397; *Merlin v. Blagrove*, 25 Beav. 137; *Cook v. Harvey*, W. N. 1874, p. 69.

(*b*) *Rowland v. Morgan*, 13 Jur. 23; *Tucker v. Horneman*, 4 De G. M. & G. 395; and see *Wellesley v. Mornington*, W. N. 1870, p. 192.

(*c*) *Re Knight's Trust*, 27 Beav. 45; *Lowson v. Copeland*, 2 B. C. C. 156.